

RESOLUTION NO. _____

ENTITLED: "A RESOLUTION AUTHORIZING THE MAYOR TO EXECUTE A SETTLEMENT AGREEMENT WITH WJE, LLC TO RESOLVE THE APRIL 6, 2023 NOTICE OF GOVERNMENTAL CLAIM REGARDING AN ALLEGED TAKING OF REAL PROPERTY IN SADDLE RIDGE ADJACENT TO CHRISTENSEN ROAD."

WHEREAS, on April 6, 2023, through legal counsel, WJE, LLC filed with the City of Cheyenne's City Clerk's office a Notice of Governmental Claim ("Governmental Claim") pursuant to the Wyoming Governmental Claims Act, Wyoming Statute § 1-39-101 *et seq.* alleging the City of Cheyenne had taken real property from WJE, LLC during its construction of the Christensen Road extension;

WHEREAS, WJE, LLC's Governmental Claim specifically alleged that the affected real property included approximately forty (40) acres of property at the northwest corner of the intersection of Pershing Boulevard and Christensen Road;

WHEREAS, WJE, LLC's approved plat allowed for the construction of nineteen (19) home lots adjacent to the road in the Saddle Ridge addition, eighteenth (18th) filing;

WHEREAS, during the construction of the Christensen Road extension, WJE, LLC granted the City of Cheyenne a fifty (50) foot permanent and exclusive easement adjacent to WJE, LLC's Saddle Ridge development;

WHEREAS, WJE, LLC also granted the City of Cheyenne an additional thirty (30) foot temporary easement for construction of the Christensen Road extension. WJE, LLC claimed that at the conclusion of the construction of the road, the property subject to the temporary construction easement would be returned to WJE, LLC for the development of the additional platted nineteen (19) homes in the Saddle Ridge addition, eighteenth (18th) filing;

WHEREAS, when the City of Cheyenne completed the Christensen Road extension, WJE, LLC claimed that the City of Cheyenne made dramatic and permanent changes to the land including removing a significant quantity of dirt/soil, which was relocated to other places;

WHEREAS, WJE, LLC alleged that the removal of the soil/dirt altered the grade in the temporary easement area to approximately thirteen (13) feet lower than the rest of the WJE, LLC's land resulting in a large amount of missing dirt/soil in the area of lands platting for the nineteen (19) lots;

WHEREAS, WJE, LLC estimated that the missing soil/dirt represented approximately forty two thousand, four hundred eighty-four point fifty four (42,484.54) cubic yards. Claimant further estimated the value of the soil/dirt to be between three dollars and fifty cents (\$3.50) to five dollars (\$5.00) per cubic yard, depending on the distance replacement soil/dirt would have to be transported to a given site;

WHEREAS, WJE, LLC alleged the City of Cheyenne appeared to consider the temporary easement area as part of the permanent right of way for Christensen Road preventing the restoration of the thirty (30) foot temporary easement area for the construction of the additional nineteen (19) homes in the Saddle Ridge addition, eighteenth (18th) filing;

WHEREAS, WJE, LLC alleged that the value of the removal of the soil/direct and the altered grade resulted in a reduction in value of the real property in the amount of approximately two hundred fifty thousand dollars (\$250,000);

WHEREAS, although the City of Cheyenne has denied the allegations contained in WJE, LLC's Governmental Claim, it has been engaged in conversations with WJE, LLC in an attempt to resolve this dispute; and

WHEREAS, the City of Cheyenne and WJE, LLC have reached a settlement agreement whereby WJE, LLC has agreed to withdraw its Governmental Claim in exchange for the City's agreement to allow WJE, LLC to donate the relevant proportions of real property related to the thirty (30) foot temporary easement area for an agreed value of two hundred fifty thousand dollars (\$250,000);

NOW, THEREFORE, BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNNE, WYOMING, that the Mayor is hereby authorized and directed to execute a Settlement Agreement and to complete other necessary paperwork.

PRESENTED, READ AND ADOPTED this _____ day of _____, 2023.

Patrick Collins, Mayor

(SEAL)

ATTEST:

Kristina F. Jones, City Clerk

SETTLEMENT AGREEMENT AND RELEASE

This SETTLEMENT AGREEMENT (the “Agreement”) is made and entered into this _____ day of _____, 2023, by and between **WJE, LLC**, 2247 E. 19th St., Cheyenne, Wyoming 82001 (“WJE, LLC”), and the **City of Cheyenne, Wyoming** a municipality organized under the laws of the State of Wyoming, 2101 O’Neil Avenue, Cheyenne, Wyoming, 82001 (the “City”), sometimes individually referred to herein as “Party” and collectively as “Parties.”

WHEREAS, on April 6, 2023, through legal counsel, WJE, LLC filed with the City of Cheyenne’s City Clerk’s office a Notice of Governmental Claim ("Governmental Claim") pursuant to the Wyoming Governmental Claims Act, Wyoming Statute § 1-39-101 *et seq.* alleging the City of Cheyenne had taken real property from WJE, LLC during its construction of the Christiansen Road extension;

WHEREAS, WJE, LLC’s Governmental Claim specifically alleged that the affected real property included approximately forty (40) acres of property at the northwest corner of the intersection of Pershing Boulevard and Christiansen Road;

WHEREAS, WJE, LLC’s approved plat allowed for the construction of nineteen (19) home lots adjacent to the road in the Saddle Ridge addition, eighteenth (18th) filing;

WHEREAS, during the construction of the Christiansen Road extension, WJE, LLC granted the City of Cheyenne a fifty (50) foot permanent and exclusive easement adjacent to WJE, LLC’s Saddle Ridge development;

WHEREAS, WJE, LLC also granted the City of Cheyenne an additional thirty (30) foot temporary easement for construction of the Christiansen Road extension. WJE, LLC claimed that at the conclusion of the construction of the road, the property subject to the temporary construction easement would be returned to WJE, LLC for the development of the additional platted nineteen (19) homes in the Saddle Ridge addition, eighteenth (18th) filing;

WHEREAS, when the City of Cheyenne completed the Christiansen Road extension, WJE, LLC claimed that the City of Cheyenne made dramatic and permanent changes to the land including removing a significant quantity of dirt/soil, which was relocated to other places;

WHEREAS, WJE, LLC alleged that the removal of the soil/dirt altered the grade in the temporary easement area to approximately thirteen (13) feet lower than the rest of the WJE, LLC’s land resulting in a large amount of missing soil/dirt in the area of lands platting for the nineteen (19) lots;

WHEREAS, WJE, LLC alleged that the City removed approximately forty two thousand, four hundred eighty-four and fifty four hundredths (42,484.54) cubic yards of soil/dirt from the temporary easement area. WJE, LLC further alleged that the value of the soil/dirt to be between three dollars and fifty cents (\$3.50) to five dollars (\$5.00) per cubic yard, depending on the distance replacement soil/dirt would have to be transported to a given site;

WHEREAS, WJE, LLC also alleged the City of Cheyenne appeared to consider the temporary easement area as part of the permanent right of way for Christiansen Road preventing the restoration of the thirty (30) foot temporary easement area for the construction of the additional nineteen (19) homes in the Saddle Ridge addition, eighteenth (18th) filing;

WHEREAS, WJE, LLC also alleged that the value of the removal of the soil/direct and the altered grade resulted in a reduction in value of the affected real property in the amount of approximately two hundred fifty thousand dollars (\$250,000.00);

WHEREAS, although the City of Cheyenne has denied the allegations contained in WJE, LLC's Governmental Claim, the City has been engaged in conversations with WJE, LLC in an attempt to resolve this dispute; and

WHEREAS, the City of Cheyenne and WJE, LLC have reached a settlement agreement as set for the in more detail below.

NOW, THEREFORE, in consideration of the mutual covenants and promises set forth in this Agreement, and for other good and valuable consideration, the adequacy and sufficiency of which are hereby acknowledged by the parties, on behalf of City of Cheyenne and WJE, LLC the Settling Signatories agree as follows:

1. EXECUTION DATE. As used in this Agreement, the "Execution Date" shall mean the date as of which the Agreement is fully executed by the Settling Signatories.

2. SETTLEMENT AMOUNT. In consideration of the release and dismissal of WJE, LLC's claims against the City, including WJE, LLC's withdrawal of its Governmental Claim, the City agrees to allowing WJE, LLC to donate to the City the relevant soil/dirt that was removed from WJE, LLC's real property by the City and any diminution in value to real property owned by WJE, LLC related to the removal of the earth type materials from the temporary easement area referenced above, for an agreed value of two hundred fifty thousand dollars (\$250,000.00) with the City to execute such documents as are necessary for WJE, LLC to claim such donation as a charitable donation with its filings with the Internal Revenue Service;

3. The City and WJE, LLC agree that the temporary easement area is no longer in use by the City, and any fencing put up by the City to protect re-landscaping efforts in the temporary easement area or for other purposes, is not meant to change ownership of the real property so fenced, or claim any ownership by the City of the temporary easement real property area owned by WJE, LLC;

4. WAIVER AND RELEASE OF LIABILITY. In consideration for the settlement of WJE'S claims against the City of Cheyenne, WJE, LLC agrees to forever release, settle and discharge the City of Cheyenne from any and all claims, and liability of every nature, whether known or unknown, that concern, arise out of or relate in any way to the above-described Governmental Claim.

5. ATTORNEYS' FEES AND EXPENSES. The Parties agree that the Settlement

constitutes the entire payment to be made in settlement of WJE, LLC's claims against the City in the Governmental Claim and WJE, LLC will not seek to recover additional amounts from the City including for its attorneys' fees and expenses in connection with all matters related to the Governmental Claim and its settlement. Any fees and expenses to be paid to WJE, LLC's counsel shall be paid solely by WJE, LLC.

6. NO ADMISSION OF WRONGDOING. This Agreement, the settlement reflected herein, and all communication or other actions relating to this settlement shall not be used by any Party for any purpose and shall not, in any way, be offered or construed as, or received against any of the Parties as evidence in any matter as an admission of wrongdoing on the part of the City.

So agreed this _____ day of November, 2023

WJE, LLC

Patrick Collins, Mayor
City of Cheyenne

(SEAL)

ATTEST:

Kristina F. Jones, City Clerk